Book IV on Development Banking, starts with the recommendations of the Committee on Finance for the Private Sector, better known as the Shroff Committee. The Shroff Committee recommended among other things, the establishment of an industrial development bank by the government to provide long-term industrial finance, and an investment and financial institution under private ownership which would underwrite new public issues and provide medium and long-term funds exclusively to the private sector. It also recommended the floatation of a unit trust to mop up savings. The state-sponsored institution, which the Committee called the Industrial Development Corporation, went on to become the Industrial Development Bank of India (IDBI). The one under private ownership, which the Committee called the Industrial Development and Finance Corporation, became ICICI. Shroff coined its name, arranged the initial capital and recruited qualified persons to man it. He was an important part of the high-powered committee set up to write the charter of the new institution and was also instrumental in negotiating the structure of the ICICI with the World Bank which was to participate in its equity.

The early history of ICICI and subsequent maturity into a highly respected development bank including the role played by H.T. Parekh as General Manager and Chairman are discussed in some detail. Book IV ends with an account of the setting up of HDFC and H.T. Parekh's stellar role in pioneering retail housing finance in India.

ICICI, as discussed in the book, no longer exists. In 2002, ICICI reverse merged into ICICI Bank which was set up in 1996. ICICI's metamorphosis from an institution providing only project finance and consultancy services to a financial conglomerate of astonishing size and diversity is too well-known to bear repetition. Similarly, HDFC is also a huge financial conglomerate and it is an amazing coincidence that these two institutions, one nurtured by, and the other founded by H.T. Parekh, are now the two biggest financial players in the private sector.

In conclusion, a word about the names of places in the book: Bombay is now Mumbai, Madras changed to Chennai, and Calcutta became Kolkata, but the older names have been retained since these were in use in the period covered in the book. Similarly, Sri Lanka is Ceylon and Myanmar is Burma.